MODEL QUESTIONS

Part-A Multiple Choice Questions

1. The primary factors of production are:
   - a. Labour and Organisation
   - b. Labour and Capital
   - c. Land and Capital
   - d. Land and Labour.

2. The man-made physical goods used to produce other goods and services are referred to as.
   - a. Land
   - b. Labour
   - c. Capital
   - d. Organization.

3. Formula for calculating AP is
   - a. ΔTP/N
   - b. ΔTP/ΔN
   - c. TP/MP
   - d. TP/N

4. Which factor is called the changing agent of the Society
   - a. Labourer
   - b. Land
   - c. Organizer
   - d. Capital

5. Who said, that one of the key of an entrepreneur is "uncertainty-bearing".
   - a. J.B.Clark
   - b. Schumpeter
   - c. Knight
   - d. Adam Smith

6. The functional relationship between "inputs" and "outputs" is called as
   - a. Consumption Function
   - b. Production Function
   - c. Savings Function
   - d. Investment Function

7. In a firm 5 units of factors produce 24units of the product. When the number of factor increases by one, the production increases to 30 units. Calculate the Avarage Product.
   - a. 30
   - b. 6
   - c. 5
   - d. 24

8. The short-run production is studied through
   - a. The Laws of Returns to Scale
   - b. The Law of Variable Proportions
   - c. Iso-quants
   - d. Law of Demand

9. The long-run production function is explained by
   - a. Law of Demand
   - b. Law of Supply
   - c. Returns to Scale
   - d. Law of Variable Proportions

Chapter-03.indd 76 1/2/2023 11:44:10 AM